Building An In-House Solution Vs. Buying Software: Pros And Cons To Consider

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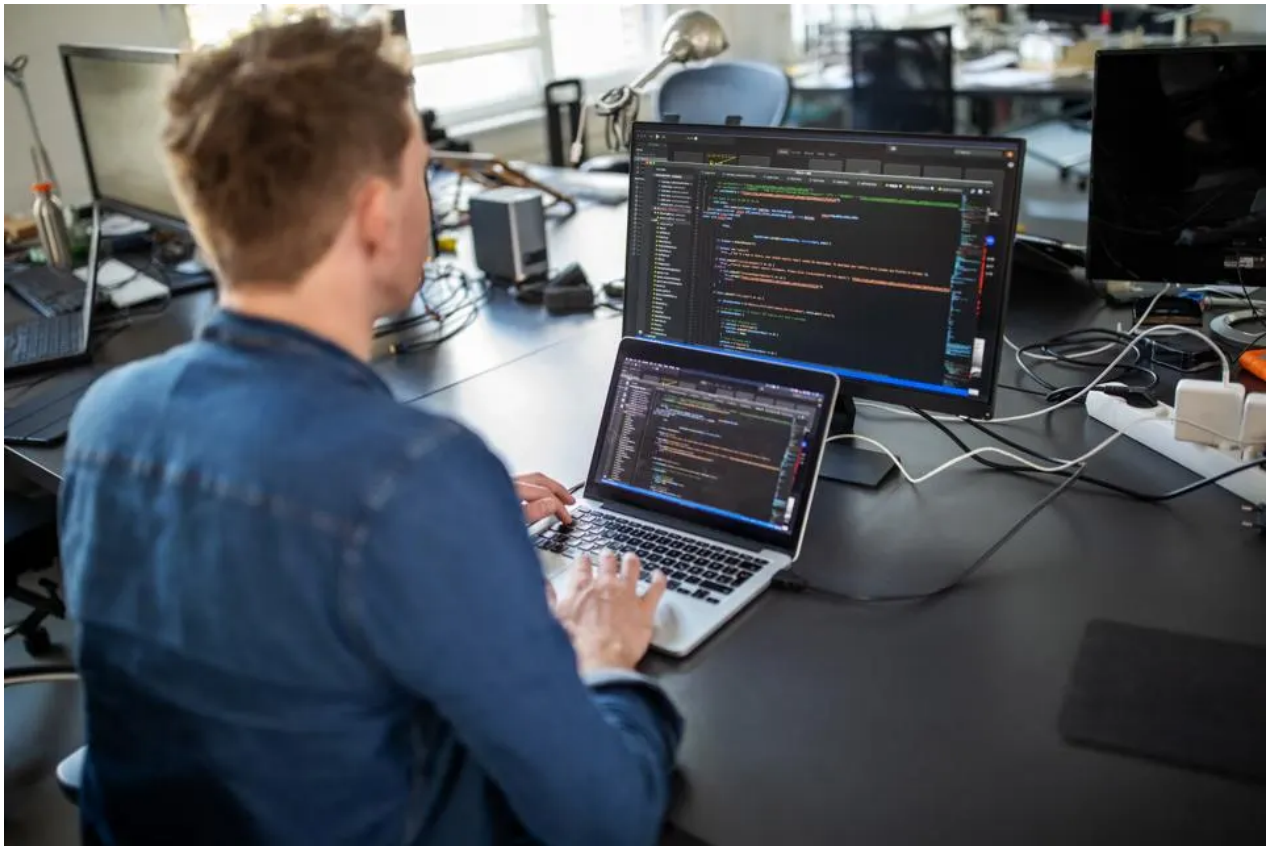

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Have you faced a situation where it seemed that the perfect software for your management or technical needs simply didn't exist?

If your need is relatively common, there are probably numerous software solutions for you to choose from. However, if it's unique or specific to a narrow industry, you might consider developing your own software.

When my previous business required a localization tool, I couldn't find one on the market that would fit my company's needs, so I opted for coding the tool myself. This side tool ended up transforming my business and becoming my main product and occupation.

From my experience, these are the key areas that you should consider before making the "building vs. buying" decision.

Costs

If you need complex enterprise-level software, it may be very expensive to develop it in-house. For this reason, many companies opt for a third-party software solution even if it isn't a perfect fit for them. However, the long-term maintenance costs may be lower for self-made software since you won't have to pay license fees.

When you estimate the costs for an IT project, be sure to count in unexpected problems and costs. Project Management Institute (PMI) found that 43% of IT projects exceed their initial budgets, 49% are late and 14% fail altogether. This doesn't have to be your case, but it's good to know the stats and not be overly optimistic in your time and cost estimations.

Time

In the business world, costs and timing are tightly linked concepts. When a project runs significantly late, you'll be forced to spend more money on software that may not even be ready for use yet.

Another time factor is urgency — how fast do you need the software product in question? If you're pressed for time, choosing an existing tool may be a better decision. However, if you have time and resources to experiment with different technology (and if running late won't have serious consequences), you can consider building your own tool.

For me, it took four months to build the first iteration of Lokalise (with quite limited functionality at that point). However, it didn't always go smoothly, and there were times I wished I hadn't started it in the first place.

Developer Resources

Before you even consider building your application, evaluate whether you have enough developers and other experts who are available and capable of building and maintaining new software. If not, will you be able to hire them, or will you be able to handle everything on your own? In most cases, building an in-house solution requires experienced developers who don't come cheap.

In our case, we didn't need to hire people since I'm a developer myself and was able to code the first version of Lokalise with some help from my colleagues. However, if you do hire new developers, will they be kept after

the project? If not, who will maintain the software and fix any future problems? Ensure that the solution is built so that other developers can come in and update the source code without issues.

With third-party software, you can also find yourself in a lock-in. Whenever you need adjustments to the software, whenever you scale and need more functionality, or even if you experience mundane technological problems, you'll have to wait and hope that the third-party dev team is available to tend to your needs ASAP.

Technical

Most likely, your custom-made application will have lower functionality than third-party software. However, it will probably give you more flexibility as your company scales and transforms.

That said, some third-party providers may be responsive to your requests and offer ways to adjust their product. Competition is fierce, and many vendors realize the need to constantly improve their software and respond to client needs.

My startup decided not to work with several enterprise customers because of their disproportionate legal and customization demands. However, if your needs are sensible and you're ready to find a compromise with the software company, many doors can open for you.

When it comes to integrations, an in-house built solution can allow you to choose all the third-party tools you want to integrate with. Meanwhile, vendor software usually has a limited list of available API integrations.

Security

The number of organizations facing cyberattacks is growing every year; in

fact, almost 30% of companies will experience a data breach in the next two years. If you build your own software, will you be ready for potential security risks like hacking attempts? Third-party software suppliers may be more prepared, having designated departments for tackling cyber threats.

From a different security aspect, you can never be 100% sure that the vendor you choose won't go out of business. If you use an external company, you rely on its success and operations. Therefore, it's important to choose only well-established, reputable software vendors.

Competition

If possible, research which kind of IT solutions your competitors use. For example, there's a chance that developing your own software application might give you an upper hand if your competitors don't have a similar tool or have a very basic equivalent.

On the other hand, if you invest too much time in developing software that isn't your primary service, you might end up falling behind your competitors as they take advantage of your downtime to rush ahead in other business aspects.

Buying, Building Or Hybrid?

Each company and situation is unique, making it impossible to give universal advice about building versus buying. For my previous company, the existing localization solutions were not good enough, so I decided to code the software myself. For other business leaders, this may not be a viable option.

After you assess all of the pros and cons, it sometimes makes sense to pick a hybrid strategy that combines buying and building. For example, you

may go for customizable open-source software to build upon an established framework. Or you can buy software to satisfy an urgent business need while simultaneously building your own product for long-term use.

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